

OMAN

LAND AREA
309,500 SQ. KM

POPULATION
5.28 MILLION

INDIAN EXPATRIATES
676,781
(29% of expats in Oman)

REMITTANCES TO INDIA
$3 BILLION
(2.5% of total inflows)

GDP
$107.1 BILLION

OIL RENTS*
23.5%

THE DAMAGE

NO. OF MISSILE/ DRONE ATTACKS
20+

KILLED/ WOUNDED
3/ 15

DROP IN OIL EXPORT
45%

GDP GROWTH DOWNGRADE
1.2 % POINTS

KEY FACILITIES HIT

● Duqm & Salalah ports ● Al-Awahi industrial area ● Oil tanker off Muscat

*economic surplus generated from oil production, as % of GDP

The European Union offers a useful comparison. Once a region marked by repeated conflict, Europe gradually chose integration over confrontation, building interdependence through trade and shared institutions. The lesson is not that models can be copied directly, but that stronger economic linkages can raise the cost of conflict and create greater incentives for cooperation. In the Gulf, this points to the value of practical frameworks that promote connectivity, investment and stability.

Economic considerations reinforce this argument. Gulf economies are undergoing ambitious transformations—Saudi Arabia's Vision 2030, Oman's Vision 2040 and similar initiatives across the region. These strategies depend fundamentally on stability. Turbulence discourages foreign direct investment, drives capital outflows and erodes investor confidence. Rebuilding trust, once lost, is a long and difficult process.

LEVERAGING OMAN'S POSITION

Already, signs of strain are visible. Businesses are affected, investments are being reconsidered and supply chains are under pressure. For countries that rely heavily on imports, including Oman, rising energy prices translate directly into inflation. As costs increase globally, they are passed on domestically, affecting everything from construction materials to food prices. Yet there remains cautious optimism. There are limits to escalation, particularly when the economic and strategic costs become substantial for all parties involved. Prolonged conflict is difficult to sustain, and there is often a growing recognition over time that dialogue and negotiated outcomes offer a more viable path than continued disruption.

For Oman, the impact has been relatively contained so far. Its policy of maintaining balanced relations and a steady diplomatic approach has helped it avoid becoming directly exposed. While there have been minor incidents, they have not significantly disrupted daily operations. The country continues to function as a logistical hub, supporting regional trade and providing alternative routes for goods moving into the GCC. This role underscores Oman's strategic importance. By facilitating the movement of goods through its ports and into neighbouring countries, Oman demonstrates its capacity to act as a reliable and constructive partner in regional stability.

OMAN'S BALANCED RELATIONS HAVE HELPED AVOID DIRECT EXPOSURE TO THE WAR. APART FROM MINOR INCIDENTS, IT IS STILL A HUB FOR MOVING GOODS AND REGIONAL COOPERATION

The broader implications extend beyond the Gulf. India, for instance, has deep economic ties with the region. It depends heavily on Gulf energy supplies and maintains significant trade links, exporting a wide range of goods. Disruptions in the Gulf directly affect India's growth trajectory, particularly as it positions itself to become one of the world's leading economies. Recent agreements between India and Oman, including economic partnerships, underline the potential for deeper collaboration. But these opportunities hinge on stability. Periods of conflict shift the focus away from investment and trade toward risk management and contingency planning. For both sides, the priority should be to preserve and strengthen economic linkages rather than allow instability to undermine them.

Ultimately, the crisis reinforces a fundamental truth: in an interconnected world, regional conflicts have global consequences. The path forward requires a shift in approach. Rather than framing outcomes in zero-sum terms, stakeholders must seek workable solutions that protect trade, energy security and long-term development. This means recognising mutual dependencies, addressing underlying tensions with care and building frameworks that encourage cooperation over confrontation.

The alternative—a prolonged cycle of escalation—would only deepen economic losses, strain political relationships and delay the region's development goals. Stability is not just a political necessity; it is an economic imperative. For now, the region stands at a crossroads. The choices made in the coming weeks will determine whether the current crisis evolves into a broader and more entrenched disruption or gives way to a more stable and constructive path. The stakes, both regional and global, remain exceptionally high. ■